

E-cash stables

There are basically three types of e-cash available: anonymous and identified type, offline and online e-cash and smart cards. In the anonymous type, the transactions made by the user cannot be traced back to him. Money is credited from the user's e-cash account, but no one would be able to trace where it went. This is the most popular kind of e-cash in use now since it is similar to the paper money we use. In contrast, in the identified type it is possible to trace the transaction back to the user.

E-cash can also be online or offline in nature. In the online kind, the transaction takes place through an intermediary such as a bank or an e-cash provider, over a network or the Internet. The offline kind does not require the transaction to take place through a middleman and can be done without connecting to a third party.

Smart cards are yet another form of e-cash that are developing rapidly. Here, e-cash is stored in embedded chips, and the transaction method is similar to that of credit cards. The rising popularity of handhelds and other such mobile computing devices is a great boost to the future of e-cash. These will enable e-cash to be 'carried' around, much like carrying cash in your pocket or wallet.

E-cash vs paper money

Similar to paper money, e-cash also works in a two-way stream in the real world. You can send to or receive e-cash from others. The anonymity that e-cash provides you ensures that your money cannot be traced back to you or the person who receives it. Unlike with credit card transactions, it is not possible for others to know

or market your personal details on the Web from your e-cash transactions.

Let's face it, the Net is not a very safe place. As such, security levels are of the highest standards in e-cash systems. This is made possible using encryption and digital signatures. E-cash providers ensure that it is not possible to have digital cash in more than one location. This means that you cannot have the same unit of e-cash in your hard disk and your PDA at the same time.

We all have heard and spoken about 'global communities' and such. However, currency still varies from country to country. So what's universal if we can't even get this right? E-cash has an edge in this regard since it is intended to be truly universal. For example, the e-cash you have in India is valid in Albania as well. Simply put, it gets things done for you anywhere in the world without having to convert your rupee into the local currency.

Another useful feature of e-cash is that it can be split into smaller units more easily than real money. This means that you would no longer have to hear tiresome lines such as "No change, sir" or "Please give me change" when you hand out a Rs 500 note. With e-cash, you can give the receiver the exact amount he needs. To add to this, e-cash is also 'age-proof' in nature. The digital nature ensures that the e-cash you have now will be valid even 50 years from now. It also does away with dirty and torn notes.

Will it ever make it big?

Now for the big question: when is e-cash going to replace the paper money we use? Well, not any

E-cash Bigshots

Two of the most popular e-cash sites are www.beenz.com and www.flooz.com. Both these sites work in radically different manners.

Beenz.com uses Beenz as the mode of transaction. No deposit of money or installation software is required to earn Beenz. Beenz.com has an Earn section, containing a list of sites that support Beenz.com. Users can earn Beenz points by visiting, registering, or making purchases at these sites. By clicking on the Beenz button on the site, the user can earn Beenz, which can later be used for buying stuff at sites supporting Beenz currency.

While Beenz.com requires customers to surf sites for revenue, Flooz.com requires you to pay up. You can purchase Flooz, the basic currency for online purchases, using your credit card. Flooz can be sent as a gift through e-mail. The receiver then registers at Flooz.com to get his Flooz account number and points from the e-mail. He can then use this account to shop at sites that support Flooz, which is available for use in two forms—for use by individuals or for corporations.

In addition to e-cash sites, major players such as Microsoft have stepped into the arena. Microsoft's latest operating system, Windows XP, comes with Passport, a kind of e-wallet that stores the user's credit card information on his PC, which he can later use for secure and easy online transactions. American Express, MasterCard, and Visa have also come out with a range of smart cards for online transactions.

Infographic: Solomon Lewis

E-cash Payment Modes

